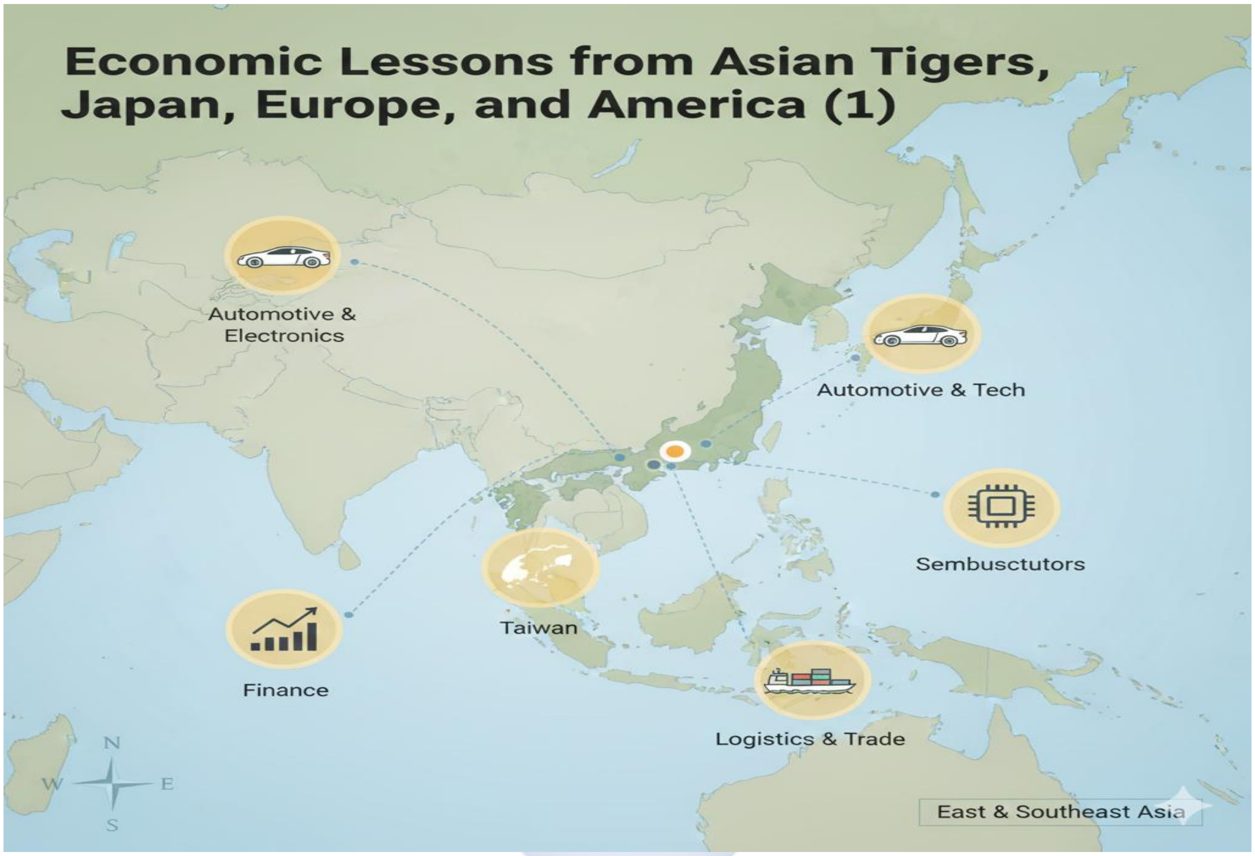
SS3 ECONOMICS LESSON NOTES

FIRST TERM

WEEK 1: ECONOMIC LESSONS FROM ASIAN TIGERS, JAPAN, EUROPE, AND AMERICA (1)



1.1 INTRODUCTION: THE "ECONOMIC MIRACLES"

This topic explores the rapid and sustained economic growth of a group of countries, which transformed them from developing or war-torn nations into global economic powerhouses in the latter half of the 20th century. This period, particularly from 1960 to 2000, is often referred to as an "economic miracle."

- **Japan:** The original model. After its total devastation in World War II, Japan rebuilt its economy to become the world's second-largest economy by the 1980s.

- **The Four Asian Tigers (or Dragons):** These are the economies that successfully copied and adapted the Japanese model to achieve their own "miracle." They are:
  1. **South Korea**
  2. **Taiwan**
  3. **Hong Kong**
  4. **Singapore**

This lesson focuses on the economic history of Japan and the Tigers, setting the stage for analyzing their strategies in Week 2.

1.2 ECONOMIC HISTORY OF JAPAN (1960–2000)

- **Post-WWII (1945-1950s):** Japan was in ruins. The US occupation (under General MacArthur) enforced land reforms (breaking up old feudal estates) and introduced democratic principles. The US also provided significant financial aid (similar to the Marshall Plan in Europe) to rebuild Japan as a bulwark against communism in Asia.
- **The "Golden Sixties" (1960s):** This was the period of high-speed growth. The government, particularly the **Ministry of International Trade and Industry (MITI)**, worked closely with private industry. This was not a "laissez-faire" (hands-off) economy. The government actively *guided* the economy, protecting "infant" industries (like steel and cars) from foreign competition and promoting exports.
- **The 1970s (The "Oil Shock"):** As a nation with no natural oil, the 1973 OPEC oil crisis hit Japan hard. This forced a massive, national pivot from *heavy industries* (like shipbuilding and steel) to *high-technology, energy-efficient* industries (like consumer electronics and automobiles).
- **The 1980s (The "Bubble Economy"):** Japan became the dominant force in global manufacturing.
  - **Automobiles:** Brands like **Toyota**, **Honda**, and **Nissan** became synonymous with quality, reliability, and fuel efficiency, overtaking American and European carmakers.
  - **Electronics:** Brands like **Sony** (Walkman), **Panasonic**, and **Nintendo** (game consoles) dominated the global consumer electronics market.

    - **"Keiretsu":** The economy was (and is) dominated by large industrial conglomerates (e.g., Mitsubishi, Sumitomo) called *keiretsu*, which link banks, manufacturers, and trading companies.
- **The "Lost Decade" (1990s):** The 1980s boom led to a massive stock market and real estate "bubble." The bubble burst in 1991, leading to a long period of economic stagnation. However, by 2000, Japan was still a mature, wealthy, and technologically advanced global power.

1.3 ECONOMIC HISTORY OF THE FOUR ASIAN TIGERS (1960–2000)

These four economies followed the Japanese model: "Export, export, export."

1. SOUTH KOREA

- **Context:** Devastated by the Korean War (1950-53). Remained one of the poorest countries in the world through the 1950s, poorer than Nigeria.
- **The "Miracle":** Starting in the 1960s, under the authoritarian government of Park Chung-hee, South Korea initiated a series of "Five-Year Plans."
- **Strategy:** The government supported and subsidized a few giant family-owned industrial conglomerates called **"Chaebols."**
- **The "Chaebols":** These companies (e.g., **Samsung**, **Hyundai**, **LG**) were pushed to compete on the *global* market. They started with simple goods (textiles), moved to heavy industry (steel, shipbuilding), and finally to high-tech (microchips, cars, electronics).
- **By 2000:** South Korea was a global leader in electronics, semiconductors, and automobile manufacturing.

2. TAIWAN

- **Context:** Became the base for the "Republic of China" after the Chinese Civil War (1949). Received significant US aid.
- **Strategy:** Unlike South Korea's "Chaebols," Taiwan's growth was driven by a vast network of **Small and Medium-sized Enterprises (SMEs)**.

- **Niche:** Taiwan became the "brain" of the global electronics industry, specializing in manufacturing components, personal computers, and hardware.
- **By 2000:** It was a powerhouse in information and communication technology (ICT).

3. HONG KONG (British Colony until 1997)

- **Context:** A city-state and natural deep-water port. It was an *entrepôt* (a trading post) for mainland China.
- **Strategy:** Pure *capitalism* and *free trade*. The government's main role was to provide stability, the rule of law, and infrastructure.
- **Growth:** Started as a base for cheap manufacturing (textiles, plastics), but by the 1980s, it transformed into one of the world's leading **financial centres**, acting as the "gateway" for global investment into China.

4. SINGAPORE

- **Context:** A small, resource-poor island nation that was expelled from Malaysia in 1965.
- **Strategy:** Under its visionary (and authoritarian) leader, **Lee Kuan Yew**, Singapore pursued a unique model.
- **Model:**
    1. **Human Capital:** With no natural resources, it invested *everything* in its people through rigorous education.
    2. **Foreign Direct Investment (FDI):** It actively courted Multi-National Corporations (MNCs) to set up their regional HQs, offering low taxes, zero corruption, and political stability.
    3. **World-Class Infrastructure:** It built the world's most efficient port and airport, becoming the global hub for *logistics* and *finance* in Southeast Asia.

EVALUATION (WEEK 1)

1. Who are the "Four Asian Tigers," and which country's economic model did they originally copy?
2. Explain the role of the **MITI** in Japan's post-war development.

3. What is a "Chaebol," and which "Tiger" is associated with this system?
4. How did the economic strategies of Hong Kong and Singapore (the "city-states") differ from those of South Korea and Taiwan?

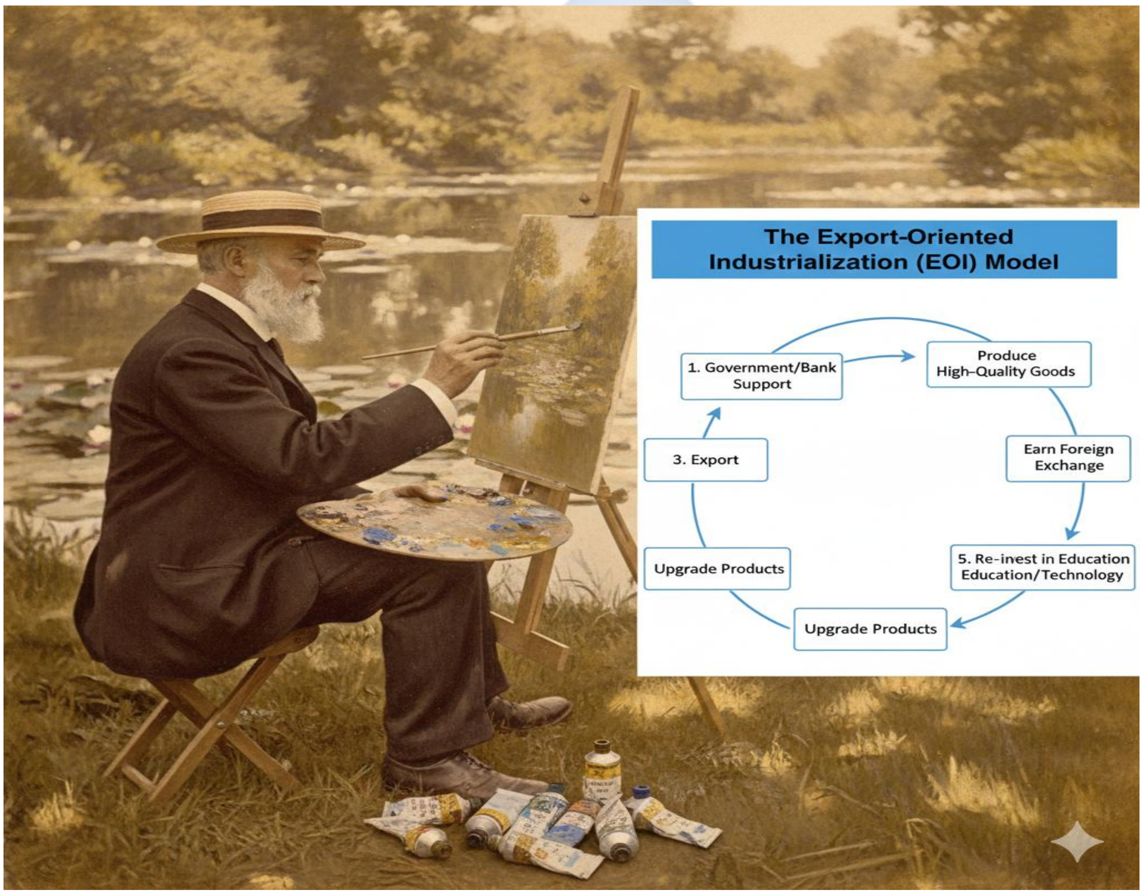
ASSIGNMENT (WEEK 1)

1. Research one of the "Asian Tigers" (South Korea, Taiwan, Hong Kong, or Singapore).
2. Write a one-page essay on its specific "economic miracle," identifying its key industries and its most important leader or policy from the 1960-2000 period.

WEEK 2: ECONOMIC LESSONS FROM ASIAN TIGERS, JAPAN, EUROPE, AND AMERICA (2)

2.1 INTRODUCTION

Last week, we reviewed the *history* of these "economic miracles." This week, we *analyze* the specific strategies they used and, most importantly, identify the lessons Nigeria can learn from their success. We also include the West (Europe/America) as a model of a *mature, stable, service-based economy*.



2.2 REVIEW OF DEVELOPMENT STRATEGIES EMPLOYED

The success of Japan and the Tigers was not an accident. It was based on a common set of deliberate, long-term strategies.

1. **Export-Oriented Industrialization (EOI):**

- This is the **most important** strategy.
- Instead of "Import Substitution" (like Nigeria, which tried to make its own goods *for its own market* and protect them with tariffs), the Tigers focused on **EOI**.
- **EOI Model:** They pushed their companies to produce high-quality goods *for the global market* (Europe/America). This forced their companies (Samsung, Toyota) to become globally competitive, innovative, and efficient.

2. **High Investment in Human Capital:**
    - They understood that a nation's greatest resource is its people.
    - They enforced universal, high-quality public education, with a strong emphasis on **STEM (Science, Technology, Engineering, and Mathematics)**.
    - This created a highly skilled, literate, and capable workforce.
3. **High Rates of Domestic Savings and Investment:**
    - These countries had (and encouraged) extremely high national savings rates (often over 30% of GDP).
    - This large pool of domestic capital was then channeled by banks into industrial development, meaning they did not have to rely heavily on foreign loans.
4. **Stable and "Developmental" State:**
    - They had strong, stable (and often authoritarian, non-democratic) governments that were focused on a single goal: **economic development.**
    - They were characterized by low corruption (Singapore, Japan) or at least "managed" corruption (South Korea) that did not stop development.
    - They created strong, competent bureaucracies that worked *with* industries (e.g., Japan's MITI).
5. **Technology Acquisition and Adaptation:**
    - They were masters of "reverse engineering." They would import one Western product (e.g., a car, a radio), take it apart, figure out how it worked, copy it, and then *improve* it.
    - They focused on moving *up* the value chain: from simple textiles -> to steel -> to cars -> to microchips.
6. **Land Reform:**

- In Japan, South Korea, and Taiwan, post-war land reforms broke up the old, unproductive feudal estates and gave land to small farmers. This increased agricultural productivity, lowered food prices, and created a stable social base.

2.3 LESSONS FOR THE NIGERIAN ECONOMY

Nigeria's economy, in contrast, is largely "monocultural" (dependent on oil) and "import-dependent" (we export raw oil, and import finished goods like petrol and cars). The lessons from the Tigers are clear and urgent.

1. **Diversification from Oil (The EOI Lesson):**
    - Nigeria must move away from its reliance on exporting raw materials (oil, cocoa, gas).
    - We must adopt an **Export-Oriented Industrialization (EOI)** strategy, focusing on *manufacturing* and *processing*.
    - **Lesson:** Instead of exporting raw cocoa, we must export *chocolate*. Instead of exporting crude oil, we must refine it and export *petrochemicals*.
2. **Massive Investment in Human Capital (The Education Lesson):**
    - The "Tigers" invested in *quality* STEM education. Nigeria must fix its broken education system.
    - **Lesson:** This means funding universities, improving primary/secondary schools, and focusing on *vocational/technical skills* (e.g., high-quality training for welders, programmers, electricians). An educated populace is the foundation of a modern economy.
3. **Infrastructure as a Priority (The Stability Lesson):**
    - No economy can industrialize without reliable infrastructure.
    - **Lesson:** Nigeria must solve its **power (electricity)** crisis. This is non-negotiable. We must also build efficient **transport networks** (ports, railways, roads) to move goods for export.
4. **Promoting Savings, Investment, and Good Governance:**
    - The Tigers had high savings. Nigeria's savings rate is very low.

- **Lesson:** We must fight corruption to stop capital flight (money being stolen and sent abroad) and encourage both domestic and foreign investment through stable, transparent policies (Rule of Law).

5. **Embrace Technology (The "Reverse Engineering" Lesson):**
    - Nigeria is currently a *consumer* of technology.
    - **Lesson:** We must create policies that encourage technology *transfer, acquisition, and adaptation*. We must build our own tech hubs (like the "YabaCon" ecosystem) to create local solutions and eventually export them.

EVALUATION (WEEK 2)

1. What is "Export-Oriented Industrialization (EOI)," and how does it differ from "Import Substitution Industrialization (ISI)"?
2. List the five main strategies employed by the Asian Tigers for their economic growth.
3. What is "reverse engineering" in the context of technology?
4. From the strategies of the Asian Tigers, identify three (3) critical lessons that Nigeria must learn to diversify its economy.

ASSIGNMENT (WEEK 2)

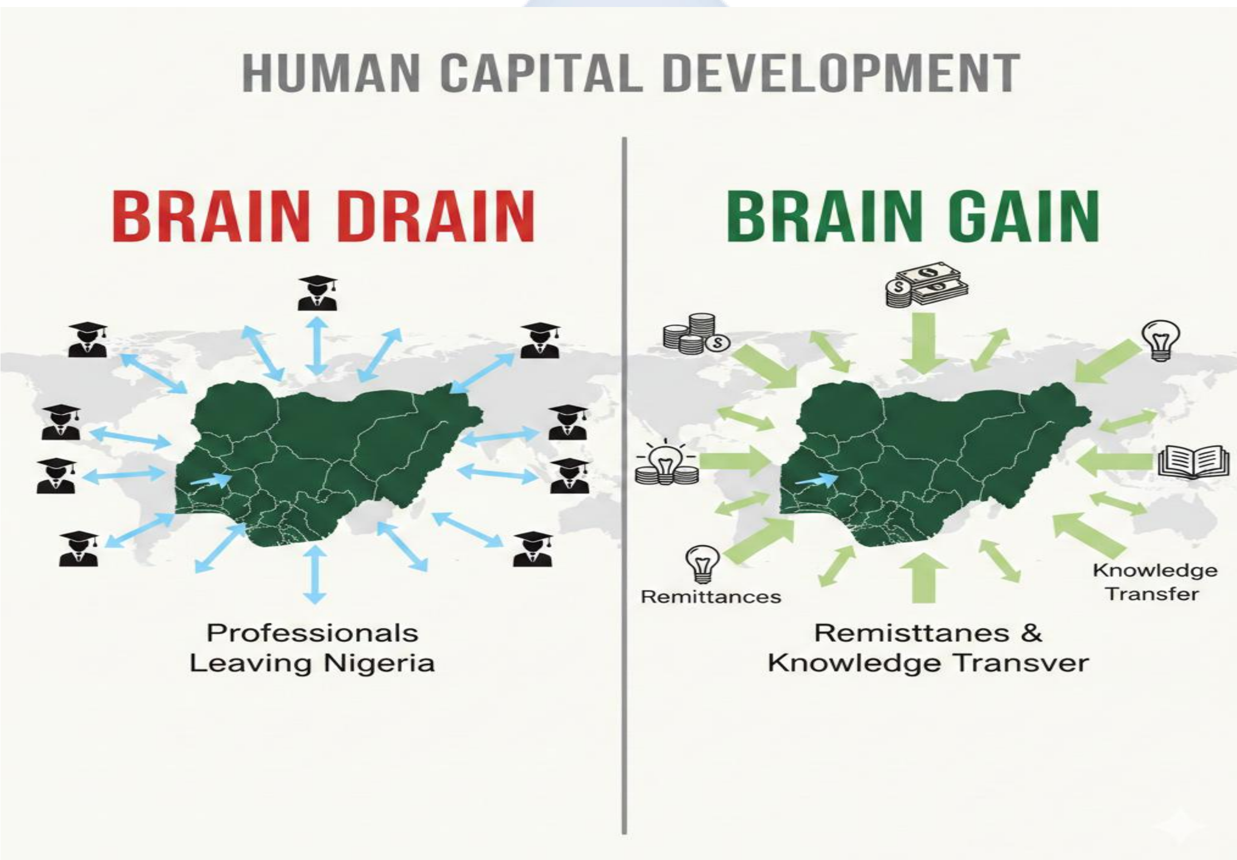
1. Write a two-page essay on the topic: "Using the Asian Tigers' model, create a simple '5-point plan' to transform the Nigerian economy by 2050." Explain and justify each point of your plan.

WEEK 3: HUMAN CAPITAL DEVELOPMENT

3.1 DEFINITION OF HUMAN CAPITAL

Human Capital is an economic term for the *stock of knowledge, skills, health, expertise, and other intangible assets* (like work ethic and social habits) that are embodied in a human being.

It is *not* just the population ("labour"). It is the **quality** and **economic value** of the labour force. A nation with 100 million illiterate, unhealthy people is poor. A nation with 20 million educated, healthy, and skilled people is rich. Human capital is the *ultimate* resource.



3.2 CHARACTERISTICS OF HUMAN CAPITAL

1. **Intangible:** You cannot see or touch "knowledge" or "skill." It is an intangible asset.
2. **Acquired:** It is not entirely innate. It is built through deliberate investment (education, training, healthcare).

3. **Appreciates with Use:** Unlike a machine, human capital (skill, experience) often *appreciates* (increases in value) with use and experience.
4. **Depreciates with Disuse:** Skills that are not used can be forgotten and become obsolete.
5. **Mobile:** Human capital is highly mobile. A person (like a doctor or programmer) can move from one country to another, taking their skills with them. This leads to...

3.3 BRAIN DRAIN AND ITS EFFECT ON THE NIGERIAN ECONOMY

- **Definition: Brain Drain** is the large-scale emigration (outflow) of a nation's most highly skilled and educated professionals (i.e., its best human capital) to other countries in search of better opportunities.
- **The Nigerian Context (The "Japa" Syndrome):** Nigeria is currently experiencing a massive brain drain, particularly in the medical, tech, and academic sectors.
- **Causes of Brain Drain in Nigeria:**
    1. **Poor Remuneration:** Low salaries that do not reflect the level of skill and are eroded by inflation.
    2. **Poor Working Conditions:** Lack of modern equipment (e.g., doctors in hospitals with no MRI machines), non-functional facilities (e.g., universities with no labs).
    3. **Insecurity:** General insecurity (kidnapping, crime) and personal safety concerns.
    4. **Political and Economic Instability:** Lack of a clear future, inconsistent policies.
    5. **Lack of Professional Fulfillment:** Limited opportunities for research, promotion, or career advancement based on merit.
- **Effects of Brain Drain on the Nigerian Economy:**
    1. **Loss of Skilled Workforce:** A severe shortage of critical professionals. The most visible is in healthcare, where the **doctor-to-patient ratio** becomes dangerously low, leading to poor public health.
    2. **Loss of Public Investment:** The Nigerian government (through public universities) subsidized the education of that doctor or engineer. When they leave, Nigeria's investment is "lost" and the *destination country* (e.g., UK, Canada) gets the benefit for free.
    3. **Reduced Innovation:** The "best minds" who would be creating new businesses, tech solutions, and research are no longer in the country.

4. **Strain on Public Services:** The remaining professionals are overworked, understaffed, and burnt out, leading to a collapse in service quality (e.g., hospitals, universities).
5. **Negative Cycle:** A "vicious cycle" where the departure of skilled people makes the country worse, which in turn encourages *more* skilled people to leave.

3.4 DISTINCTION BETWEEN HUMAN AND PHYSICAL CAPITAL

Feature	Human Capital	Physical Capital
Definition	The intangible knowledge, skills, and health of the workforce.	The tangible, man-made goods used in production.
Examples	A doctor's medical degree, a programmer's coding skills, an engineer's experience.	A hospital building, a computer, a factory machine, a road.
Mobility	Highly mobile. A person can move from Nigeria to Canada (Brain Drain).	Immobile (a factory) or difficult to move (a computer).
Depreciation	Can appreciate with use (experience) or depreciate with disuse (obsolescence).	Depreciates with use (wear and tear, physical decay).
Separability	Cannot be separated from its owner (the person).	Can be bought, sold, and owned separately from its creator.
Acquisition	Acquired through education, training, and healthcare.	Acquired through investment, construction, and purchasing.

3.5 FACTORS AFFECTING THE EFFICIENCY OF HUMAN CAPITAL

Efficiency is the ability to produce a high output with minimum input.

1. **Education and Training:** This is the most important factor. High-quality, relevant (especially technical/vocational) training directly increases productivity.
2. **Health and Nutrition:** A healthy, well-fed workforce is physically and mentally more productive than a sick or malnourished one.
3. **Technology:** The tools available to the worker. An accountant with Excel is 100x more efficient than one with a manual ledger.

4. **Motivation and Remuneration:** A fair wage, good working conditions, and performance-based incentives (like bonuses) increase morale and efficiency.
5. **Political and Social Stability:** A stable environment (low crime, no conflict) allows capital to be productive.
6. **Experience ("Learning by Doing"):** An experienced worker is more efficient than a new one.

3.6 STRATEGIES FOR ARRESTING BRAIN DRAIN

1. **Improve Remuneration:** Pay competitive salaries that reflect the value of the professionals.
2. **Improve Working Conditions:** *Invest* in the tools. This is the main lesson from the Asian Tigers. Build modern hospitals, laboratories, and universities.
3. **Ensure Stability and Security:** Tackle insecurity to make the country safe and attractive to live in.
4. **Create "Centres of Excellence":** Invest heavily in specific industries (e.g., tech, research) to create world-class hubs that attract and retain top talent.
5. **Promote "Brain Gain":** Create programs that actively encourage the Nigerian "diaspora" to return, either permanently or for short-term projects, to transfer their skills.

EVALUATION (WEEK 3)

1. Define Human Capital.
2. In a table, clearly differentiate between Human Capital and Physical Capital, giving two examples of each.
3. What is "Brain Drain"?
4. List three (3) causes and three (3) effects of brain drain on the Nigerian economy.
5. What is the most important factor affecting the efficiency of human capital?

ASSIGNMENT (WEEK 3)

1. The "Japa" syndrome is a common term for Nigeria's current brain drain.

2. Write a two-page letter to the Minister of Health, outlining a 3-point strategy for retaining Nigerian doctors and nurses in the country.

WEEK 4: PETROLEUM AND THE NIGERIAN ECONOMY

4.1 DEVELOPMENT OF THE PETROLEUM INDUSTRY

- **1908:** Early exploration by a German company (Bitumen Corporation) began, but was stopped by WWI.
- **1937:** Shell D'Arcy (a consortium of Shell and British Petroleum) was given an exploration monopoly.

- **1956:** The "Discovery." Oil was discovered in *commercial quantities* at **Oloibiri** (in present-day Bayelsa State).
- **1958:** First crude oil export from Port Harcourt.
- **1971:** Nigeria joined the **Organization of the Petroleum Exporting Countries (OPEC)**.
- **1973:** The "Oil Boom" begins. The Yom Kippur War in the Middle East led to an oil embargo, and global oil prices skyrocketed. Nigeria was flooded with "petrodollars."
- **1977:** The Nigerian National Petroleum Corporation (NNPC) was created by the government to manage the nation's interest in the industry.
- **1980s:** The "Oil Glut." Global prices crashed, devastating the Nigerian economy, which had become 100% dependent on oil.
- **1990s-Present:** A shift from conventional onshore (land) exploration to more complex and expensive **deep-water offshore** exploration.
- **2021:** The **Petroleum Industry Act (PIA)** was passed to fundamentally restructure the industry, including changing NNPC from a state corporation to a commercial limited liability company (NNPC Ltd.).

4.2 CONTRIBUTIONS OF PETROLEUM TO THE NIGERIAN ECONOMY

A. POSITIVE CONTRIBUTIONS

1. **Massive Government Revenue:** This is the primary contribution. Oil and gas account for over **90%** of Nigeria's *foreign exchange earnings* and a large portion of all government revenue.
2. **Source of Foreign Exchange:** The sale of crude oil in US Dollars provides the foreign currency Nigeria needs to pay for its imports (e.g., cars, machines, refined petrol, food).
3. **Funding for National Development:** Oil revenue (especially during the 1970s boom) funded the construction of *major infrastructure* (e.g., the new Federal Capital Territory in Abuja, the national highway network, bridges, airports) and public services (universities, hospitals).
4. **Raw Materials for Petrochemical Industries:** By-products of refining are used to create:
    - Fertilizers

   - Plastics (polymers)
   - Detergents
   - Synthetic fibres (nylon)
5. **Job Creation:** Creates (highly specialized) jobs for engineers, geologists, technicians, etc., and many more indirect jobs in support services.

B. NEGATIVE CONTRIBUTIONS (THE "RESOURCE CURSE")

1. **The Dutch Disease:** This is the most critical negative effect.
   - Massive oil exports made the Naira "strong."
   - A strong Naira made Nigeria's *other exports* (like cocoa, groundnuts) *too expensive* for the world to buy.
   - It also made *imports* (like rice, textiles, cars) *very cheap*.
   - **Result:** The agricultural and manufacturing sectors were killed. Farmers went out of business. Factories closed. The economy became *non-diversified* and 100% reliant on oil.
2. **Neglect of Agriculture:** The "Oil Boom" caused a mass migration of labour from the farm to the cities, and the government abandoned its investment in agriculture. Nigeria went from being a net food exporter to a net food importer.
3. **Massive Corruption:** The "easy money" from oil (called "rent") created a system of patronage, embezzlement, and public corruption on an epic scale, as controlling the state meant controlling all the oil wealth.
4. **Environmental Degradation:** Constant oil spills and gas flaring in the **Niger Delta** have destroyed farmland, polluted fishing waters, and caused severe health problems for local communities.
5. **Economic Instability (Volatility):** The entire national budget is tied to the *global price of oil*, which Nigeria cannot control. When oil prices are high, the economy booms; when they crash, the economy goes into recession.

4.3 ROLES OF NNPC AND OPEC

A. NNPC (NIGERIAN NATIONAL PETROLEUM COMPANY LIMITED)

- **Role:** The NNPC is the state-owned enterprise that acts as the government's representative in the entire petroleum industry.
- **Functions:**
  1. **Management of JVs (Joint Ventures):** NNPC manages the JVs with international oil companies (IOCs) like Shell, Chevron, ExxonMobil. NNPC owns a majority stake (e.g., 55-60%) "on behalf" of the nation, while the IOC operates the field.
  2. **Upstream (Exploration & Production):** NNPC has its own E&P subsidiary (NPDC) that finds and drills for oil.
  3. **Midstream (Refining):** NNPC owns all of Nigeria's (currently dysfunctional) refineries (Port Harcourt, Warri, Kaduna).
  4. **Downstream (Marketing & Distribution):** NNPC is the "marketer of last resort," responsible for importing fuel (petrol) to meet national demand and selling it through its retail stations.

B. OPEC (ORGANIZATION OF THE PETROLEUM EXPORTING COUNTRIES)

- **Definition:** OPEC is an **intergovernmental organization (a cartel)** composed of the world's major oil-exporting nations. Nigeria joined in 1971.
- **Primary Role/Function:**
  1. **Coordinate and Unify Petroleum Policies:** To ensure all members are working together.
  2. **Stabilize the Oil Market:** This is its *main goal*. OPEC tries to prevent wild price swings (both crashes and spikes).
  3. **Secure a Fair Price:** OPEC's "mission" is to secure a "steady income for producers and a fair return for those investing in the industry."
- **Key Tool (The Quota System):**
  - OPEC's main tool for managing prices is by controlling **supply**.
  - When the global price of oil is *too low* (due to oversupply), OPEC will *cut production* by assigning a **quota** (a limit) to each member.
  - If all members reduce their supply, the global price will (in theory) rise.

- *Problem:* Members often "cheat" on their quotas, which can cause the system to fail.

EVALUATION (WEEK 4)

1. When and where was oil first discovered in commercial quantities in Nigeria?
2. Explain the concept of "Dutch Disease" and how it affected Nigeria's agricultural sector.
3. List three (3) positive and three (3) negative contributions of petroleum to Nigeria's economy.
4. What is a "Joint Venture (JV)" in the context of the NNPC?
5. What is OPEC, and what is its main function? How does it try to control oil prices?

ASSIGNMENT (WEEK 4)

1. Research the **Petroleum Industry Act (PIA) of 2021**.
2. Write a one-page report on the two *major changes* this act introduced to the Nigerian petroleum industry (e.g., the transformation of NNPC and the new "host community" fund).

WEEK 5: MIDTERM EXAMINATION

This week is for the Midterm Examination, covering all topics from Weeks 1-4. The examination will test knowledge of:

- *Economic history and strategies of the Asian Tigers and Japan.*
- *Human Capital, Brain Drain, and Human vs. Physical Capital.*
- *The Nigerian Petroleum Industry, Dutch Disease, NNPC, and OPEC.*

WEEK 6: MANUFACTURING AND CONSTRUCTION

6.1 MEANING AND TYPES OF MANUFACTURING

Manufacturing is the core of the **Secondary Sector** of the economy.

- **Definition:** It is the large-scale production of goods by transforming *raw materials* (from the primary sector) into *finished goods* or *semi-finished goods* (for the tertiary sector or other industries). This transformation involves the use of machinery, tools, and labour.

- **Types of Manufacturing:**
    1. **Food, Beverage, and Tobacco:** This is often the largest sub-sector in developing economies.

- *Examples:* Flour Mills of Nigeria (flour, pasta), Dangote (sugar, salt, pasta), Nigerian Breweries (drinks), Cadbury (beverages).

2. **Textiles, Apparel, and Footwear:**
   - *Examples:* Local textile weavers, garment factories, leather shoe manufacturers.
3. **Cement and Concrete:** A critical industry for construction.
   - *Examples:* Dangote Cement, Lafarge, BUA Cement.
4. **Chemical and Pharmaceutical:**
   - *Examples:* Fertilizer plants (e.g., Notore, Dangote), plastic (e.g., Innoson), paint manufacturers (e.g., Berger), pharmaceutical companies (e.g., Emzor).
5. **Basic Metal, Iron, and Steel:**
   - *Examples:* Rolling mills, steel production (e.g., Ajaokuta - though largely non-functional).
6. **Automotive Assembly:**
   - *Examples:* Innoson Vehicle Manufacturing (IVM), and various plants assembling foreign brands.
7. **Crafts (Cottage Industry):** Small-scale, often manual, manufacturing.
   - *Examples:* Local *Adire* (textile) makers, blacksmiths, potters.

6.2 MEANING OF CONSTRUCTION

The **Construction** industry is also part of the secondary sector.

- **Definition:** It is the business of *building* and *assembling* physical infrastructure. It is a project-based industry.
- **Sectors:**
  1. **Buildings:** Residential (houses, apartments), Commercial (offices, malls), and Industrial (factories, warehouses).
  2. **Civil Engineering (Infrastructure):** This involves large-scale public works like roads, bridges, dams, airports, and seaports.

3. **Specialized Trades:** Includes subcontractors like electricians, plumbers, and welders.

6.3 CONTRIBUTIONS OF MANUFACTURING AND CONSTRUCTION TO NIGERIA'S GDP

- **Gross Domestic Product (GDP):** The total monetary value of all *finished goods and services* produced within a country's borders in a specific time period. It is the primary measure of a country's economic size.
- **Contribution:**
    - **Manufacturing:** Nigeria's manufacturing sector's contribution to GDP has historically been *very low* for its size (often < 10%). This is a sign of a non-diversified, import-dependent economy. Sub-sectors like "Food & Beverage" and "Cement" are the strongest.
    - **Construction:** This sector is a *key driver* of GDP. When a government invests in infrastructure (like building railways or roads), the construction sector booms. This sector's growth is a strong indicator of national investment.

6.4 ROLES OF MANUFACTURING AND CONSTRUCTION IN ECONOMIC DEVELOPMENT

Economic development is *more* than just GDP growth; it is the improvement of the citizens' quality of life.

1. **Job Creation (High Volume):** This is a primary role. Factories (manufacturing) and building sites (construction) employ large numbers of people, from low-skilled labourers to high-skilled engineers, accountants, and managers.
2. **Economic Diversification:** A strong manufacturing sector is the *only* way for Nigeria to *diversify* its economy away from oil. It creates a stable, value-added source of revenue.
3. **Linkages to Other Sectors:**
    - **Backward Linkage:** Manufacturing *buys* raw materials from the Primary Sector (e.g., a fruit juice factory buys mangoes from farmers; a cement factory buys limestone).

- **Forward Linkage:** Its products are *used* by the Tertiary Sector (e.g., a factory produces computers for a bank; construction builds the bank).

4. **Foreign Exchange:**
   - **Saving (Import Substitution):** When Nigeria makes its own cement (e.g., Dangote), it does not have to *spend* its foreign exchange (USD) to *import* cement.
   - **Earning (Export):** When Innoson exports its buses to Ghana, it *earns* foreign exchange for Nigeria.
5. **Skill Development (Human Capital):** These industries are a "school" for the nation. They build a workforce of skilled technicians, engineers, plumbers, and managers, which enhances the nation's human capital.
6. **Infrastructure Development:** The construction industry *literally builds* the "hardware" of the economy (roads, ports, power plants) that all other sectors need to function.

EVALUATION (WEEK 6)

1. Define Manufacturing and Construction. Why are they both in the "Secondary Sector"?
2. What is the "Gross Domestic Product (GDP)"?
3. List four (4) different types of manufacturing industries.
4. Explain the concept of "Backward and Forward Linkages" using a Textile Factory as an example.
5. List three major roles of the construction industry in economic development.

ASSIGNMENT (WEEK 6)

1. "A nation that only exports raw materials and imports finished goods will remain poor."
2. Write a one-page essay explaining this statement, using Nigeria's oil (raw) and petrol (finished) as your main example. Discuss how a stronger *manufacturing* (refining) sector would solve this problem.

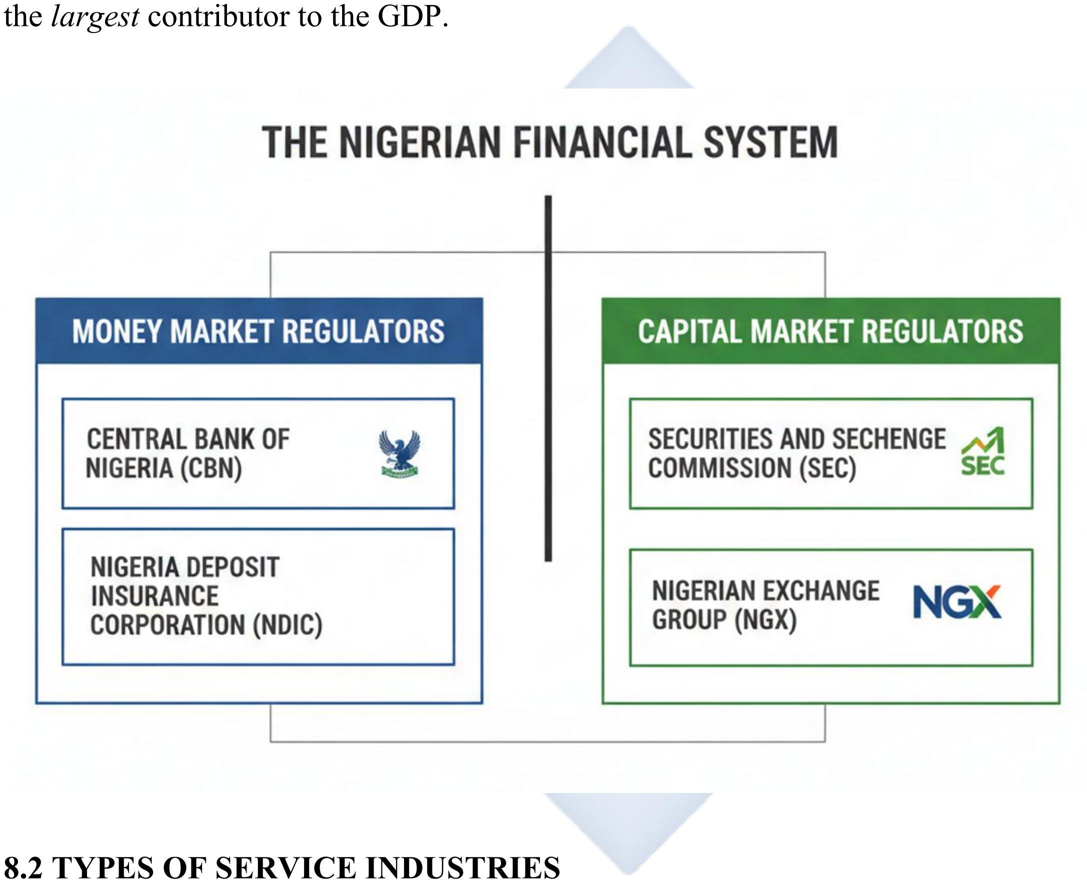
WEEK 7: MIDTERM BREAK

This week is for the midterm break. No new lesson notes.

WEEK 8: SERVICE INDUSTRIES

8.1 MEANING OF SERVICES

The **Service Industry** (or **Tertiary Sector**) is the part of the economy that provides *services* (intangible goods) rather than *physical products* (goods). A "good" is an object you can own (like a car). A "service" is an action someone performs for you (like a taxi ride, a haircut, or a university lecture). In most modern, advanced economies (and in Nigeria), the service sector is the *largest* contributor to the GDP.



8.2 TYPES OF SERVICE INDUSTRIES

1. **Tourism and Hospitality:**
   - **Definition:** Provides accommodation, food, and experiences for travellers.
   - **Examples:** Hotels (e.g., Eko Hotel), restaurants, tour guides, event planners, airlines, and cultural heritage sites (e.g., Olumo Rock, Osun-Osogbo Grove).
2. **Transport and Logistics:**
   - **Definition:** The "circulatory system" of the economy. It involves the movement of goods and people.

- **Examples:** Road transport (e.g., ABC Transport, logistics trucks), aviation (e.g., Air Peace), maritime (shipping, ports), and rail.

3. **Banking (Financial Services):**
    - **Definition:** Mobilizes capital (takes deposits/savings) and allocates capital (gives loans).
    - **Examples:** Commercial Banks (Access, GTB, UBA), Microfinance Banks, Central Bank (CBN).
4. **Insurance:**
    - **Definition:** Provides risk management. Individuals/businesses pay a "premium," and the insurance company agrees to cover the cost of a future loss.
    - **Examples:** Auto insurance (Third-Party, Comprehensive), health insurance (HMOs), life assurance.
5. **Warehousing:**
    - **Definition:** The service of storing physical goods (inventory) in a secure, managed facility. Essential for importers, manufacturers, and wholesalers.
6. **Advertisement and Marketing:**
    - **Definition:** The service of creating and promoting a product to increase sales.
    - **Examples:** Advertising agencies (e.g., Insight), TV/radio stations, social media influencers.
7. **Telecommunications:**
    - **Definition:** The service of transmitting information (voice, data).
    - **Examples:** Mobile networks (MTN, Glo, Airtel), internet service providers (ISPs), satellite TV (DSTV, StarTimes).
8. **Information & Communication Technology (ICT):**
    - **Definition:** Includes software development, IT support, and fintech.
    - **Examples:** Tech hubs (e.g., Yaba), fintech "unicorns" (e.g., Paystack, Flutterwave).
9. **Entertainment:**
    - **Definition:** Provides leisure and amusement.
    - **Examples: Nollywood** (filmmaking), **Afrobeats** (music industry), sports, comedy.
10. **Public Services:**

- **Definition:** Services provided by the government.
- **Examples:** Education (public schools), Healthcare (public hospitals), Security (police, army), Civil Service.

8.3 CONTRIBUTIONS OF SERVICE INDUSTRIES TO NATIONAL DEVELOPMENT

1. **Largest Contributor to GDP:** In Nigeria, the service sector (led by Telecoms, Trade, and Real Estate) is the *largest* part of the economy, contributing over 50% of the GDP.
2. **High-Value Job Creation:** Creates millions of jobs, ranging from low-skill (e.g., security guard) to very high-skill (e.g., banker, software developer, doctor, professor).
3. **Enabling Other Sectors:** The service sector provides the *essential infrastructure* for the primary and secondary sectors to function.
   - You cannot have a manufacturing sector (secondary) without **transport** (to move goods), **banking** (to get loans), **insurance** (to protect the factory), and **advertising** (to sell the products).
4. **Attracting Foreign Direct Investment (FDI):** A strong banking and telecommunications sector gives foreign investors the confidence to invest in Nigeria.
5. **Earning Foreign Exchange:**
   - The "export" of services is a major earner.
   - **Nollywood** and **Afrobeats** are massive cultural exports, earning millions of dollars in royalties and international tour fees.
   - The Nigerian **fintech** industry attracts billions of dollars in foreign investment.
6. **Improving Quality of Life:** Services like healthcare, education, and entertainment directly improve the well-being and standard of living of the population.

EVALUATION (WEEK 8)

1. What is the "Service Sector" (Tertiary Sector), and how does it differ from the "Secondary Sector"?
2. List five (5) different types of service industries and give a Nigerian example for each.
3. What is the *largest* contributing sector to Nigeria's GDP?

4. Explain the statement: "The service sector provides the essential infrastructure for other sectors to function."

ASSIGNMENT (WEEK 8)

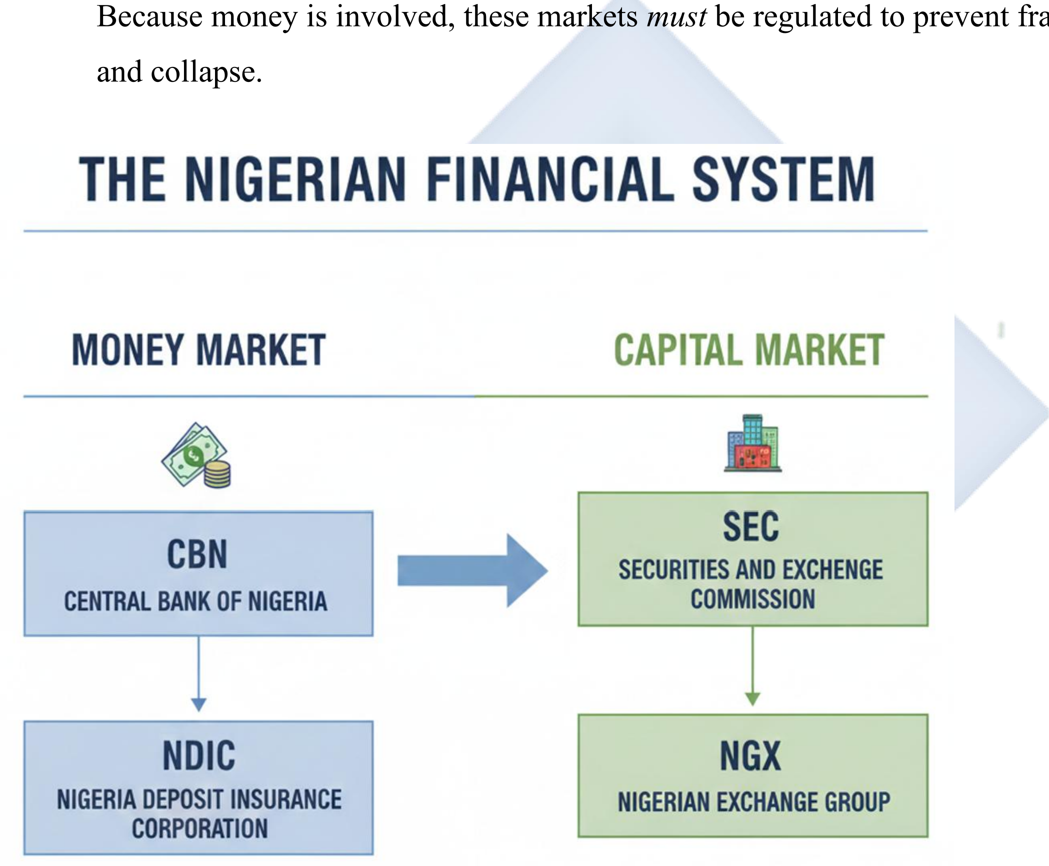
1. Choose one Nigerian service industry (e.g., Nollywood, Afrobeats, or the Fintech industry).
2. Write a one-page report on its *global* impact and its contribution to Nigeria's economy in terms of (a) Job Creation and (b) Foreign Exchange Earnings.

WEEK 9: AGENCIES THAT REGULATE FINANCIAL MARKETS

9.1 INTRODUCTION

The **Financial Market** is the "circulatory system" of the economy. It is where money and capital are allocated. It is divided into two parts:

1. **Money Market:** For short-term (less than 1 year) borrowing and lending.
2. **Capital Market:** For long-term (more than 1 year) investment in stocks and bonds.
   Because money is involved, these markets *must* be regulated to prevent fraud, instability, and collapse.



9.2 REGULATION OF THE MONEY MARKET

The Money Market is the market for short-term funds, dominated by banks.

- **Primary Agency: Central Bank of Nigeria (CBN)**
- **Other Agencies:**

- **NDIC (Nigeria Deposit Insurance Corporation):** Insures deposits, protecting savers if a bank fails.
- **AMCON (Asset Management Corporation of Nigeria):** A "bad bank" set up to buy toxic debts from banks to keep them stable.

- **Roles and Functions of the CBN (The Apex Regulator):**

1. **Regulator of Commercial Banks:** The CBN *issues licenses* to banks, *sets rules* for their operation (e.g., "Cash Reserve Ratio"), and *supervises* them to ensure they are stable and not taking too much risk.
2. **Banker to the Government:** The CBN holds the government's accounts (e.g., the Federation Account) and manages its domestic and foreign debt.
3. **Banker's Bank:** The CBN acts as the bank for the commercial banks. It holds their reserves and acts as a "lender of last resort" if a healthy bank has a temporary cash-flow problem.
4. **Manages Monetary Policy:** This is its *most important* role. The CBN controls the supply of money in the economy to manage inflation and promote growth, using tools like:
   - **Monetary Policy Rate (MPR):** The "benchmark" interest rate.
   - **Cash Reserve Ratio (CRR):** The percentage of deposits banks *must* keep with the CBN (and cannot lend out).
5. **Manages Foreign Reserves:** The CBN manages Nigeria's stash of foreign currency (USD, EUR) to stabilize the Naira (NGN) and pay for imports.

9.3 REGULATION OF THE CAPITAL MARKET

The Capital Market is the market for long-term funds (stocks and bonds), dominated by the stock exchange.

- **Primary Agency: SEC (Securities and Exchange Commission)**
- **Other Agencies:**
  - **Nigerian Exchange Group (NGX):** The "market" itself (formerly the Nigerian Stock Exchange). It is a "Self-Regulatory Organization (SRO)."

- **CSCS (Central Securities Clearing System):** The clearing house that settles all trades.

- **Objectives and Tools of SEC:**
  - **The #1 Objective: Investor Protection.** SEC's main job is to protect the public (you) from being cheated.
  - **The #2 Objective: Market Development.** To grow the market and make it fair, efficient, and transparent.
- **Functions and Tools of SEC:**

  1. **Registration:** SEC registers *all* market participants: the stock exchange (NGX), stockbrokers, and all *public companies* that want to sell shares (stocks) to the public.
  2. **Surveillance and Monitoring:** SEC watches all trades to detect "insider trading" (trading based on secret information) or market manipulation.
  3. **Rulemaking:** SEC creates the rules for the market (e.g., how a company must report its financial results).
  4. **Investigation and Enforcement:** SEC can investigate fraud, suspend dishonest brokers, and fine companies that break the rules.

9.4 FUNCTIONS AND SIGNIFICANCE OF REGULATORY AGENCIES

1. **Maintaining Financial Stability:** This is the most significant role. The CBN and SEC prevent "systemic collapse" (like the 2008-2009 banking crisis) by ensuring banks and the market are healthy.
2. **Protecting Consumers/Investors:** NDIC protects your savings. SEC protects your investments. This builds *confidence*.
3. **Controlling Inflation:** The CBN's monetary policy is the main tool for fighting inflation.
4. **Fostering Investment:** A well-regulated, transparent market (where SEC prevents fraud) attracts foreign and local investors, which funds economic growth.

EVALUATION (WEEK 9)

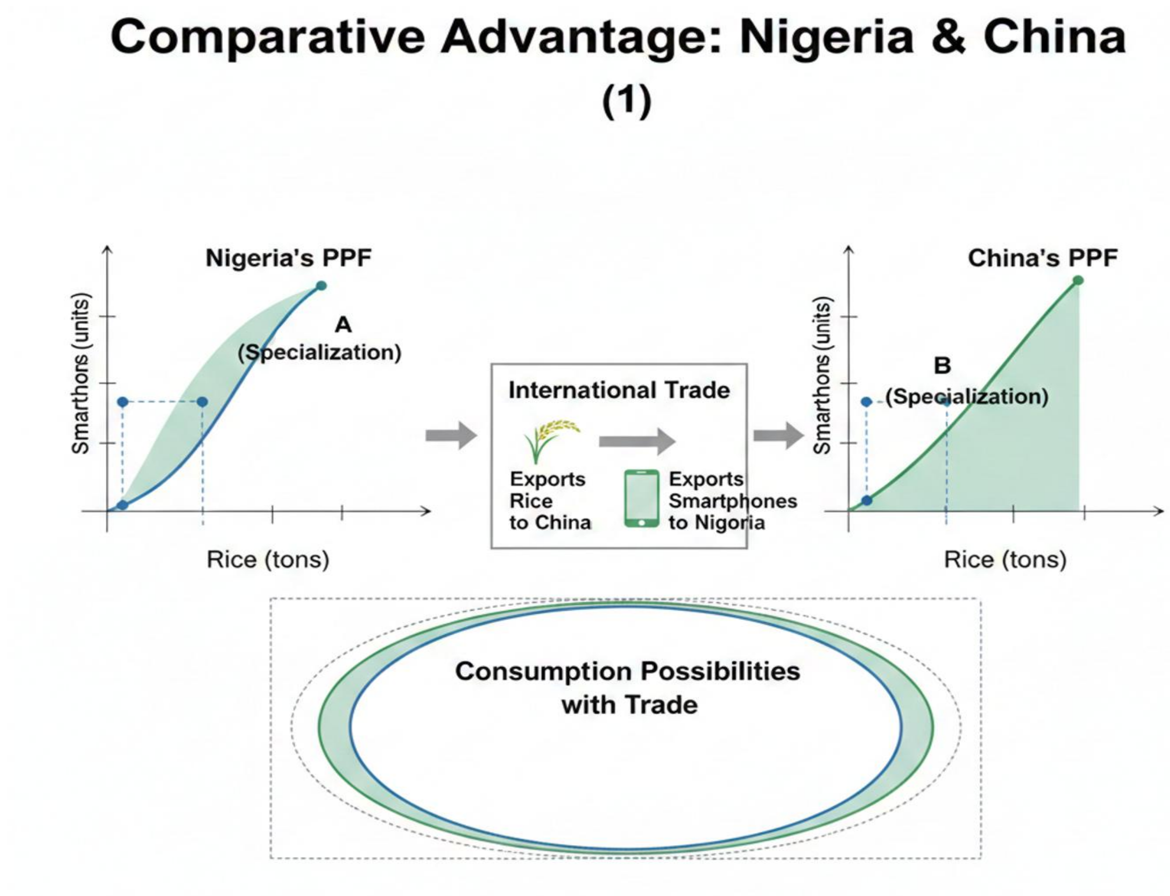
1. What is the difference between the Money Market and the Capital Market?

2. What is the *apex* regulatory agency for the (a) Money Market and (b) Capital Market?
3. What is the NDIC, and what is its main function?
4. State two (2) main functions of the CBN and two (2) main functions of the SEC.
5. Why is the regulation of financial markets significant for the economy?

ASSIGNMENT (WEEK 9)

1. Research the 2009 Nigerian banking crisis that led to the creation of AMCON.
2. Write a one-page summary explaining (a) what caused the crisis and (b) what role the CBN (under Sanusi Lamido Sanusi) played as a *regulator*.

WEEK 10: INTERNATIONAL TRADE (1)



10.1 MEANING OF INTERNATIONAL TRADE

International Trade is the exchange (export and import) of goods and services *across national borders or territories*.

- **Export:** Goods and services *produced domestically* and *sold to other countries* (e.g., Nigeria exporting crude oil).
- **Import:** Goods and services *produced in other countries* and *bought by domestic residents* (e.g., Nigeria importing petrol or cars).

10.2 DISTINCTION BETWEEN DOMESTIC AND INTERNATIONAL TRADE

Feature	Domestic Trade (Internal)	International Trade (Foreign)

Area	Within the geographical boundaries of *one* country.	Between *two or more* different countries.
Currency	Uses a *single* currency (e.g., Naira).	Involves *different* currencies and requires **foreign exchange** (e.g., Naira, Dollar, Euro).
Mobility	Factors of production (labour, capital) are *highly mobile*.	Factors are *less mobile* (due to immigration laws, language barriers).
Policies	A single, uniform set of government policies, taxes, and laws.	Involves *different* policies, laws, and **trade barriers** (tariffs, quotas).
Barriers	Low barriers. Easy to move goods (e.g., from Lagos to Kano).	High barriers. Involves language, culture, and transport barriers (shipping, customs).

10.3 REASONS FOR INTERNATIONAL TRADE

No country can produce *everything* it needs. Trade is necessary.

1. **Uneven Distribution of Natural Resources:**
    - This is the primary reason. Resources are not spread equally.
    - *Example:* Nigeria has crude oil, but not enough iron ore. Brazil has iron ore. Nigeria *imports* iron from Brazil and *exports* oil.
2. **Differences in Climate:**
    - Climate determines what can be grown.
    - *Example:* Ghana and Cote d'Ivoire have the perfect tropical climate to grow cocoa. Europe does not. Europe *imports* cocoa from West Africa.
3. **Differences in Technology and Skills:**
    - Some countries have a highly skilled workforce and advanced technology for complex manufacturing.
    - *Example:* Japan and Germany specialize in high-tech cars and machinery. Nigeria *imports* these, as it lacks the current technological base.
4. **Differences in Capital:**
    - Developed countries (like the USA) have large amounts of capital to invest in expensive industries (e.g., building airplanes - Boeing).

5. **Economies of Scale:**
   - It is cheaper to produce a good when you produce a *lot* of it.
   - *Example:* It is cheaper for China to specialize and mass-produce textiles for the *whole world* than for every country to try and make its own textiles.
6. **Differences in Tastes (Demand):**
   - A country may be able to produce a good, but its citizens still *want* variety (e.g., Nigerians drink wine from South Africa, even though we can (and do) produce our own).

10.4 THEORY OF COMPARATIVE COST (DAVID RICARDO)

This is the *economic* justification for free trade. It's a complex but crucial theory.

- **Theory of Absolute Advantage (Adam Smith):**
  - This is the simple version. A country should export what it is *best* at producing.
  - *Example:* If Ghana produces cocoa better than Nigeria, and Nigeria produces oil better than Ghana, Ghana should *only* produce cocoa and Nigeria should *only* produce oil, and they should trade.
- **Theory of Comparative Advantage (David Ricardo):**
  - This is the advanced version. It asks: "What if one country is better at producing *everything*?"
  - **The Law:** A country should specialize in producing and exporting the good in which it has the *greatest comparative advantage* (or *least comparative disadvantage*).
  - The key is **Opportunity Cost**. A country should produce the good that it can make at the *lowest opportunity cost*.
- **Illustration (The Classic Example):** Assume two countries (Nigeria & China) and two goods (Rice & Phones). *Amount produced in 1 day of labour:*

International Trade Output Table

Country	Rice (bags)	Phones (units)

Nigeria	10	5
China	40	30

- **Absolute Advantage:** China is better at *everything*. It has an absolute advantage in both Rice (40 > 10) and Phones (30 > 5).
- **Opportunity Cost (This is the key):**
  - **For Nigeria:** To make 1 Phone, it must give up 2 bags of Rice (10 / 5 = 2).
  - **For China:** To make 1 Phone, it must give up 1.33 bags of Rice (40 / 30 = 1.33).
  - **Conclusion:** China has a *lower opportunity cost* for making **Phones** (1.33 < 2). Therefore, **China should specialize in Phones.**
  - **For Nigeria:** To make 1 bag of Rice, it must give up 0.5 Phones (5 / 10 = 0.5).
  - **For China:** To make 1 bag of Rice, it must give up 0.75 Phones (30 / 40 = 0.75).
  - **Conclusion:** Nigeria has a *lower opportunity cost* for making **Rice** (0.5 < 0.75). Therefore, **Nigeria should specialize in Rice.**
- **Result:** Even though China is "better" at both, it gains by specializing in phones and *trading* with Nigeria for rice. Both countries win.

10.5 SHORTCOMINGS (ASSUMPTIONS) OF THE THEORY

Ricardo's theory is a simple model and makes many unrealistic assumptions:

1. **Assumes No Transport Costs:** In reality, it is expensive to ship goods, which can wipe out the "advantage."
2. **Assumes Free Trade:** Assumes no tariffs, quotas, or import bans.
3. **Assumes Factors are Immobile:** Assumes labour and capital cannot move between countries (which is now false - see "Brain Drain").
4. **Assumes Fixed Costs:** Assumes costs are constant, but in reality, economies of scale exist.

5. **Ignores Strategic Industries:** A country might *want* to produce its own food (Rice), even if it's "inefficient," for reasons of *national security*.

EVALUATION (WEEK 10)

1. In a table, list three (3) differences between domestic and international trade.
2. State the "Law of Comparative Advantage."
3. What is the difference between "Absolute Advantage" and "Comparative Advantage"?
4. List three (3) shortcomings of the theory of comparative advantage.

ASSIGNMENT (WEEK 10)

Use the table below (Output per worker per day):

Country	Computers (units)	Cloth (yards)
Country A	20	100
Country B	10	90

1. (a) Which country has the Absolute Advantage in Computers? In Cloth? (b) Calculate the Opportunity Cost of 1 Computer for *both* countries. (c) Calculate the Opportunity Cost of 1 yard of Cloth for *both* countries. (d) Which country should specialize in Computers? Which in Cloth? Why?

WEEK 11: INTERNATIONAL TRADE (2)

11.1 MEANING OF GLOBALIZATION

Globalization is the complex process of interaction and integration among people, companies, and governments worldwide. It is the process by which the world is becoming an increasingly *interconnected* and *interdependent* "global village."

It is driven by:

1. **Technology:** The invention of the internet, mobile phones, and cheap data.
2. **Transport:** The invention of jet travel and container shipping, which makes moving goods and people cheap and fast.
3. **Policy:** The deliberate removal of trade barriers (free trade) and financial regulations by governments.

11.2 FEATURES OF GLOBALIZATION

1. **Rise of Multinational Corporations (MNCs):** The growth of massive global companies (like Shell, Toyota, MTN, Google, Coca-Cola) that operate in many countries.
2. **Free Flow of Capital:** The ease with which money and investment can move from one country to another.
3. **Growth of Global Trade:** The volume of imports and exports has grown much faster than the world economy.
4. **Increased Migration:** The increased movement of people (both skilled professionals - "brain drain," and low-skilled labour).
5. **Cultural Globalization (or "Westernization"):** The rapid spread of global culture (e.g., American movies, music, fashion, food) via the internet and media, which often threatens local cultures.
6. **Interdependence:** A problem in one part of the world now affects everyone (e.g., a financial crisis in the US in 2008, a supply chain issue in China in 2021, the COVID-19 pandemic).

11.3 CHALLENGES OF GLOBALIZATION (FOR NIGERIA)

1. **De-Industrialization (Increased Competition):** Globalization allows cheap, mass-produced goods (e.g., from China) to flood the Nigerian market. This *kills* local industries (like our textile and tire industries) that cannot compete.
2. **"Brain Drain" (Human Capital Flight):** Globalization makes it easy for Nigeria's best and brightest (doctors, nurses, programmers) to get jobs and move abroad, leaving the country with a skill deficit.
3. **Cultural Imperialism:** The dominance of Western (American) media, fashion, and values can erode and "drown out" traditional Nigerian cultures and languages.
4. **Increased Vulnerability to Global Shocks:** When the global oil price crashes, Nigeria's economy goes into recession. When the global financial system crashed in 2008, it affected Nigerian banks.
5. **Inequality:** Globalization has often widened the gap between the rich (who can access global markets and technology) and the poor (who cannot).

11.4 OPPORTUNITIES OF GLOBALIZATION (FOR NIGERIA)

1. **New Markets for "Services" and "Culture":** This is our biggest win.
   - **Nollywood** and **Afrobeats** (Wizkid, Burna Boy, Davido) have used globalization (YouTube, Spotify, Netflix) to become massive *global exports*, earning foreign exchange.
   - **Fintech:** Nigeria's tech sector (e.g., Paystack, Flutterwave) has attracted billions of dollars in *foreign investment* (FDI) because globalization allows them to solve African problems with global technology.
2. **Access to Technology and Information:** The internet, mobile phones (MTN, Glo), and computers have revolutionized life and business in Nigeria, allowing us to "leapfrog" old technologies.
3. **Access to Foreign Direct Investment (FDI):** Foreign companies can bring in capital and expertise to build factories, phone networks, or oil infrastructure, creating jobs.
4. **"Brain Gain" and the Diaspora:** The same globalization that causes "brain drain" allows the Nigerian Diaspora to:
   - Send **remittances** (money) back home.
   - Return (like the founders of many tech companies) with global skills and capital to start new businesses in Nigeria.

EVALUATION (WEEK 11)

1. Define globalization and list two factors that drive it.
2. What is a Multinational Corporation (MNC)?
3. List two (2) major challenges and two (2) major opportunities globalization presents to Nigeria.
4. How has globalization been both a "challenge" (Brain Drain) and an "opportunity" (Brain Gain) for Nigeria's human capital?

ASSIGNMENT (WEEK 11)

1. "Globalization is a 'double-edged sword' for a developing country like Nigeria."

2. Write a two-page essay on this topic. One page must argue *for* the benefits of globalization (e.g., Afrobeats, Fintech), and one page must argue *against* it (e.g., loss of textile industry, brain drain).

WEEK 12: REVISION

12.1 OVERVIEW OF TERM'S WORK

This term, we have moved from Nigeria's internal economy to its place in the global economic system.

- **Weeks 1-2:** We learned from the **Asian Tigers** that the path to wealth is through **Export-Oriented Industrialization (EOI)**, **Human Capital Investment**, and **Good Governance**.
- **Week 3:** We analyzed **Human Capital** as the most precious resource and the "Brain Drain" as its biggest threat.
- **Week 4:** We studied the **Petroleum Industry**, our "monocultural" reliance on it, the "Dutch Disease" it caused, and the roles of **NNPC** and **OPEC**.
- **Week 6:** We examined the **Manufacturing and Construction** (Secondary) sectors as the *solution* to oil dependency and the key to job creation.
- **Week 8:** We explored the **Service (Tertiary) Sector** (Telecoms, Banking, Nollywood) as Nigeria's *current* largest economic driver.
- **Week 9:** We learned how the "nervous system" of the economy—the **Financial Markets**—are regulated by the **CBN (Money Market)** and **SEC (Capital Market)** to ensure stability and protect investors.
- **Weeks 10-11:** We studied **International Trade**, the *theory* (Comparative Advantage) that justifies it, and its modern form, **Globalization** (which creates both massive challenges and huge opportunities for Nigeria).

12.2 FINAL PREPARATION

- Review all definitions, key terms, and examples.
- Practice applying the lessons from the Asian Tigers (Week 2) to solve the problems of the Petroleum Economy (Week 4) and build the Manufacturing/Service sectors (Weeks 6 & 8).
- Be ready to discuss the pros and cons of globalization, as this is a key theme for SS3.

(No new evaluation or assignment. This week is for comprehensive self-study.)

SS3 ECONOMICS LESSON NOTES

SECOND TERM

WEEK 1: BALANCE OF PAYMENTS (B.O.P) I

1.1 INTRODUCTION: BALANCE OF TRADE VS. BALANCE OF PAYMENTS

Before discussing the Balance of Payments (BOP), we must first understand two related, but different, concepts:

1. **Balance of Trade (BOT):** This is a *narrow* concept. It is the difference between the monetary value of a country's **visible exports** (goods like oil, cocoa) and its **visible imports** (goods like cars, phones).
   - BOT = Value of Visible Exports - Value of Visible Imports
   - **Favorable BOT (Surplus):** Exporting more goods than importing.
   - **Unfavorable BOT (Deficit):** Importing more goods than exporting.
2. **Balance of Payments (BOP):** This is a *broad* concept. It is a **comprehensive statistical record** of *all* economic transactions (goods, services, and capital) between the residents of one country and the rest of the world over a period, usually one year.
   - The BOT is *just one part* of the BOP.

1.2 TERMS OF TRADE (T.O.T)

- **Definition:** The Terms of Trade is the **ratio** of a country's average export prices to its average import prices. It measures how many units of imports a country can get for one unit of its exports.
- **Measurement (Formula):**
  - Terms of Trade (TOT) = (Index of Export Prices / Index of Import Prices) x 100
- **Base Year:** An index is set at 100 for a "base year."
- **Interpretation:**

- **Favorable TOT (Improving):** If the TOT increases (e.g., to 105), it means export prices have risen *faster* than import prices. The country is "richer"; one unit of its exports (like oil) can now buy *more* units of imports (like cars).
- **Unfavorable TOT (Deteriorating):** If the TOT decreases (e.g., to 95), it means import prices are rising *faster* than export prices. The country is "poorer"; it must now export *more* goods just to buy the same amount of imports.

Example: In 2020 (Base Year), Nigeria's export/import index is 100. In 2023, the oil price (export) index rises to 120, but the car/machine (import) index rises to 110.

- TOT = (120 / 110) * 100 = 109.1. This is a *favorable* (improving) TOT.

In 2024, the oil price index (export) falls to 115, but the import index rises to 125.

- TOT = (115 / 125) * 100 = 92. This is an *unfavorable* (deteriorating) TOT.

1.3 FAVORABLE AND UNFAVORABLE BALANCE OF PAYMENTS

The BOP is made of three main accounts:

1. **Current Account:** Records trade in goods (visible), services (invisible, e.g., tourism, banking), and transfers (e.g., remittances).
2. **Capital Account:** Records flows of investment capital (e.g., foreign direct investment, loans).
3. **Official Reserves Account:** The Central Bank's holdings of foreign currency.

Favorable Balance of Payments (BOP Surplus)

- **Definition:** This occurs when a country's total *inflows* of foreign currency (from exports, investments, etc.) are *greater* than its total *outflows* (for imports, etc.). The country *earns* more foreign currency than it spends.
- **Effects of a Favorable BOP:**
    1. **Increase in Foreign Reserves:** The Central Bank's savings of dollars, pounds, etc., will increase.

2. **Currency Appreciation:** High demand for the nation's currency (to buy its exports) will cause its value to rise (e.g., the Naira becomes stronger).
3. **Increased Domestic Investment:** More money in the country can lead to higher investment.
4. **Inflation:** *This is a potential negative.* A large surplus can mean too much money chasing too few goods, leading to inflation.

Unfavorable Balance of Payments (BOP Deficit)

- **Definition:** This occurs when a country's total *outflows* of foreign currency are *greater* than its total *inflows*. The country *spends* more foreign currency than it earns. This is also called a "Balance of Payments disequilibrium."
- **Effects of an Unfavorable BOP (Common in Nigeria):**
    1. **Depletion of Foreign Reserves:** The Central Bank must *sell* its saved foreign currency to pay for the deficit, which is not sustainable.
    2. **Currency Depreciation/Devaluation:** The nation's currency will lose value (e.g., the Naira becomes weaker), making imports *more* expensive.
    3. **Increased Foreign Debt:** To fund the deficit, the country may have to take loans from the IMF, World Bank, or other nations.
    4. **Inflation:** Devaluation makes all imported goods (including raw materials) more expensive, which causes "imported inflation."
    5. **Loss of International Prestige:** A persistent deficit signals a weak and dependent economy.

EVALUATION (WEEK 1)

1. Differentiate between Balance of Trade (BOT) and Balance of Payments (BOP).
2. What is the formula for calculating the Terms of Trade (TOT)?
3. What does a "deteriorating" or "unfavorable" TOT (e.g., 90) mean for a country?
4. List three (3) major effects of an unfavorable Balance of Payments (deficit).

ASSIGNMENT (WEEK 1)

1. Nigeria is a country that is highly dependent on oil exports and refined fuel imports.
2. Write a one-page essay explaining how a sudden *crash* in the global price of oil would affect Nigeria's (a) Terms of Trade and (b) Balance of Payments.

WEEK 2: BALANCE OF PAYMENTS (B.O.P) II

2.1 CONCEPTS OF BOP: SURPLUS AND DEFICIT (REVIEW)

- **BOP Surplus:** Total Receipts (Inflows) > Total Payments (Outflows).
- **BOP Deficit:** Total Payments (Outflows) > Total Receipts (Inflows).

A persistent BOP deficit is a serious economic problem. It means the country is "living beyond its means" on an international level. This week, we focus on the policies a government can use to *correct* this deficit.

2.2 METHODS OF CORRECTING A BALANCE OF PAYMENTS DEFICIT

The goal of all these policies is to **increase exports** (increase inflows) and/or **decrease imports** (decrease outflows).

1. Trade Policies (Expenditure-Switching)

These policies try to *switch* domestic and foreign spending away from foreign goods and towards domestic goods.

- **Devaluation:** This is a *monetary policy* but is used as a *trade tool*. The government *officially* lowers the exchange rate of its currency (e.g., from $1=₦500$ to $1=₦800$).
  - **Effect:** This makes **exports cheaper** for foreigners (good) and **imports more expensive** for citizens (good for the deficit, bad for inflation).
  - **Goal:** To boost exports and reduce imports.
  - *(Note: **Depreciation** is when the market forces the value down; **Devaluation** is when the government officially does it.)*
- **Import Duties (Tariffs):** A tax on imported goods. This makes them more expensive, discouraging citizens from buying them.
- **Import Quotas:** A *physical limit* on the *quantity* of a good that can be imported (e.g., "Nigeria will only import 10,000 cars this year").
- **Embargo / Import Ban:** A total ban on the importation of a specific good (e.g., rice, frozen chicken).

- **Export Promotion:** Encouraging and subsidizing domestic producers to export more (e.g., through tax breaks, export grants).

2. Monetary Policies (Expenditure-Reducing)

These policies are aimed at *reducing* the total amount of spending in the *entire* economy, which in turn reduces spending on imports. These are implemented by the **Central Bank (CBN)**.

- **Contractionary Monetary Policy:** The CBN *reduces the money supply* in the economy.
    - **Method 1: Raise Interest Rates:** Makes borrowing more expensive, so businesses and people borrow and spend less.
    - **Method 2: Raise Cash Reserve Ratio (CRR):** Forces banks to hold more money, so they have less to lend out.
    - **Effect:** Less spending in the economy, which means less spending on imports.

3. Fiscal Policies (Expenditure-Reducing)

These policies are implemented by the **Government (Ministry of Finance)**.

- **Contractionary Fiscal Policy:** The government *reduces its own spending* and *increases taxes*.
    - **Method 1: Increase Taxes (Income/VAT):** This takes money out of citizens' pockets, so they have less to spend on all goods, including imports.
    - **Method 2: Reduce Government Spending:** The government (a huge importer) cuts down on its own projects and spending.
    - **Effect:** Reduces overall demand in the economy, including import demand.

4. Financial and Accommodating Policies

These policies don't *fix* the problem, they just *fund* the deficit.

- **Drawing from Official Reserves:** Using the nation's "savings" (foreign currency reserves) to pay the difference. This is a *short-term* solution and is not sustainable.

- **Foreign Loans:** Borrowing money from the **IMF (International Monetary Fund)**, **World Bank**, or other countries. This *funds* the deficit today but must be paid back with interest tomorrow.
- **IMF Conditionalities:** The IMF often gives loans *only if* the country agrees to implement "conditionalities" (like devaluation, removing subsidies, or contractionary policies), which can be politically unpopular.

EVALUATION (WEEK 2)

1. What is the primary goal of all policies aimed at correcting a BOP deficit?
2. Explain how **devaluation** is supposed to correct a deficit. What are its two effects?
3. Differentiate between a **tariff** and a **quota**.
4. What is "Contractionary Monetary Policy," and who implements it?
5. What is the major difference between "Trade Policies" and "Financial Policies" in correcting a deficit?

ASSIGNMENT (WEEK 2)

1. In the 1980s, Nigeria faced a severe BOP crisis due to crashing oil prices. The government (under Babangida) adopted an **IMF/World Bank Structural Adjustment Programme (SAP)**.
2. Research the "SAPs" in Nigeria. Write a one-page report on two (2) of the policies that were implemented and what their effects were on the average citizen.

WEEK 3: ECONOMIC GROWTH AND DEVELOPMENT

3.1 MEANING OF ECONOMIC GROWTH

Economic Growth is a *quantitative* concept. It is the **increase** in a country's total output of goods and services, typically measured by the **percentage increase in real Gross Domestic Product (GDP)** over a period of time.

- **Real GDP:** The total value of all goods/services produced, adjusted for inflation.
- **Economic Growth:** A country's GDP was ₦100 billion last year and ₦105 billion this year (after inflation). The *growth* is 5%.
- **Key Idea:** It is purely a measure of *quantity* and *size*. It does *not* tell you who got the money or if people's lives are better.

3.2 MEANING OF ECONOMIC DEVELOPMENT

Economic Development is a *qualitative* and *multi-dimensional* concept. It is a process of improving the **standard of living, quality of life, and economic well-being** of the entire population.

- **Key Idea:** It includes economic growth, *plus* improvements in:
    - **Health:** Life expectancy, infant mortality.
    - **Education:** Literacy rates, years of schooling.
    - **Infrastructure:** Access to clean water, electricity, roads.
    - **Social Justice:** Reduction in poverty, inequality, and unemployment.
- **Measurement:** Often measured by the **Human Development Index (HDI)**, which combines GDP per capita, life expectancy, and education levels.

3.3 DISTINCTION BETWEEN ECONOMIC GROWTH AND DEVELOPMENT

This is a classic SS3 exam question.

- **Economic Growth** is about *having more*.
- **Economic Development** is about *living better*.

- **The Relationship:** Economic growth is *necessary* for economic development, but it is *not sufficient* (it's not enough). A country needs to *grow* its economy (make more money) to have the funds to *develop* (build schools, hospitals).
- **The Paradox:** A country (like Nigeria during the 1970s "oil boom") can have high **economic growth** (GDP going up) but low **economic development** (poverty and inequality also going up). This is called "growth without development."

Feature	Economic Growth	Economic Development
Concept	**Quantitative.** Narrower.	**Qualitative.** Broader.
Measures	Increase in *real GDP* or *GDP per capita*.	Increase in *Human Development Index (HDI)*, standard of living, literacy, life expectancy.
Scope	Measures the *output* of an economy.	Measures the *well-being* of the population.
Example	A 5% increase in a country's oil production.	A 5% increase in the national literacy rate and a 2-year increase in life expectancy.
Relationship	It is possible to have growth *without* development.	Development is *impossible* to sustain in the long run *without* growth.

3.4 PROBLEMS OF ECONOMIC DEVELOPMENT IN NIGERIA

Despite having massive resources (oil, gas, human capital), Nigeria has struggled to achieve sustained economic development. Key problems include:

1. **Corruption and Poor Governance:** This is the *number one* problem. Public funds meant for development (roads, schools, hospitals) are embezzled or mismanaged, leading to a massive gap between public spending and actual results.
2. **Over-dependence on a Single Commodity (Oil):** The "Resource Curse."
    - **Volatility:** The entire national budget is tied to the global oil price. When oil prices crash, the economy goes into recession, and all development projects stop.
    - **Dutch Disease:** The focus on oil has led to the total *neglect* of other vital sectors like Agriculture and Manufacturing.

3. **Poor Infrastructure (Especially Power):** The lack of stable, affordable electricity is the *biggest obstacle* to business and industrialization. Businesses must "self-generate" with expensive diesel/petrol generators, making them uncompetitive.
4. **Human Capital Deficit (Brain Drain):** A weak educational system produces graduates without the skills for a modern economy. Furthermore, the *best* trained professionals (doctors, engineers, tech experts) often emigrate (the "Japa" syndrome), leaving the country with a skill shortage.
5. **High Poverty and Inequality:** A vast gap between the rich and the poor leads to social unrest, crime, and a lack of a strong middle class to drive consumption.
6. **Widespread Insecurity:** Terrorism, banditry, and kidnapping make it unsafe to farm, travel, or invest in many parts of the country.

EVALUATION (WEEK 3)

1. Define Economic Growth and Economic Development.
2. What is the "Human Development Index (HDI)"?
3. "Economic growth is necessary but not sufficient for economic development." Explain this statement.
4. What is "growth without development"?
5. List and explain three (3) major problems of economic development in Nigeria.

ASSIGNMENT (WEEK 3)

1. Using the internet, find the *current* (or most recent) **Human Development Index (HDI)** ranking for Nigeria.
2. Compare this ranking to two other countries (e.g., South Africa and Ghana).
3. Write a one-page report on your findings and what they imply about Nigeria's level of economic development.

WEEK 4: ECONOMIC DEVELOPMENT PLANNING

4.1 DEFINITION AND ELEMENTS OF DEVELOPMENT PLANNING

Economic Planning is the process by which a government consciously sets economic goals and objectives for a future period (e.g., 5 or 10 years) and outlines the strategies, policies, and resources needed to achieve them. It is a deliberate effort to *manage* and *direct* the economy, rather than leaving it purely to market forces.

Elements of a Good Development Plan:

1. **Analysis of the Current Situation:** A realistic "stock-taking" of the economy's current state (e.g., GDP, inflation, unemployment, existing infrastructure).
2. **Setting Clear Goals and Objectives:** What, exactly, does the plan aim to achieve? (e.g., "Increase literacy from 60% to 80%," "Build 5,000km of new roads," "Reduce unemployment to 15%").
3. **Resource Inventory:** An assessment of all available resources (financial, human, natural). How will the plan be *funded*?
4. **Strategies and Policies:** The specific "how-to." (e.g., "To boost agriculture, we will implement subsidies on fertilizer and build new irrigation schemes").
5. **A Clear Timeline:** Assigning specific timeframes for each goal (e.g., "Year 1: Design. Year 2-3: Build...").
6. **Monitoring and Evaluation Framework:** A plan for *how* success will be measured and who will be held accountable.

4.2 NIGERIA'S PLANNING EXPERIENCE

Nigeria has a long history of economic planning, with mixed results.

- **Colonial Era:** Plans (e.g., the 10-year Plan of 1946) were not for "development" but for *resource extraction* to benefit Britain.
- **Post-Independence (Fixed-Term Plans):**
  - **First National Development Plan (1962–68):**

        - *Context:* Immediately after independence.
        - *Goal:* To build the foundations of a new nation.
        - *Achievements:* Launched major "prestige" projects like the **Kainji Dam**, the first Niger Bridge, and established the first set of federal universities (Unilag, ABU, Ife).
        - *Interrupted by the Civil War.*
    - **Second National Development Plan (1970–74):**
        - *Context:* Post-Civil War. Funded by the *oil boom*.
        - *Goal:* **Reconstruction, Rehabilitation, and Reintegration (the "3 Rs").**
        - *Focus:* Rebuilding infrastructure, expanding public services. This is when the government took majority shares in the oil industry.
    - **Third (1975–80) & Fourth (1981–85) Plans:**
        - *Context:* Continued oil boom, followed by the oil price crash.
        - *Goal:* Ambitious "white elephant" projects (e.g., Ajaokuta Steel, new Federal Capital at Abuja).
        - *Problem:* The 1980s oil price crash made the 4th plan unfundable, leading to a massive debt crisis.
- **Structural Adjustment Programme (SAP) (1986):** This was a *crisis plan* (not a development plan), forced by the IMF/World Bank. It abandoned central planning in favour of market forces, privatization, and devaluation.
- **Rolling Plans (1990s):** Short-term (3-year) "rolling" plans, which were less rigid.
- **Return to "Visioning" (2000s-Present):**
    - **NEEDS** (2003-2007) and **Vision 20:2020** (2009) (covered in Week 8).
    - **Economic Recovery and Growth Plan (ERGP)** (2017-2020).
    - **National Development Plan (2021-2025).**

4.3 OBJECTIVES OF NIGERIA'S DEVELOPMENT PLANS (COMMON THEMES)

While the names change, the *goals* of Nigeria's development plans have been remarkably consistent for 60 years:

1. **Economic Diversification:** To *reduce* the nation's dependence on crude oil and build up agriculture, manufacturing, and solid minerals.
2. **Industrialization:** To move the economy from exporting raw materials to producing finished goods ("Made in Nigeria").
3. **Infrastructure Development:** To provide stable electricity, good roads, railways, and ports.
4. **Reduction of Unemployment:** To create jobs for the large, growing youth population.
5. **Poverty Alleviation and Reduction of Inequality.**
6. **National Food Security:** To be able to feed the population without relying on food imports.

EVALUATION (WEEK 4)

1. What is Economic Development Planning?
2. List the five (5) key elements of a good development plan.
3. What was the *main objective* of Nigeria's Second National Development Plan (1970-74)?
4. What major event in the 1980s made the Fourth National Development Plan fail?
5. List three (3) objectives that have been common to *almost all* of Nigeria's development plans.

ASSIGNMENT (WEEK 4)

1. Choose *one* of the "common objectives" (e.g., Economic Diversification or Infrastructure Development).
2. Write a one-page "report card" on Nigeria's performance. Why do you think Nigeria has *failed* to achieve this goal, despite 60 years of planning? (Use your knowledge of corruption, instability, etc.).

WEEK 5: MIDTERM EXAMINATION

This week is for the Midterm Examination, covering all topics from Weeks 1-4.

WEEK 6: INTERNATIONAL ECONOMIC ORGANIZATIONS

6.1 INTRODUCTION

No nation is an economic island. International organizations are formal groups of countries that cooperate on economic, political, and social issues. Nigeria is a key member of many.

6.2 AIMS, OBJECTIVES, AND ROLES

1. REGIONAL ORGANIZATIONS

- **ECOWAS (Economic Community of West African States):**
  - **Aims:** To promote economic integration and cooperation among its 15 West African member states.
  - **Objectives:** The ultimate goal is a "common market" with free movement of people, goods, and capital; a common currency (the Eco); and regional peace.
  - **Roles:** Famous for **ECOMOG** (its peacekeeping force) and the **ECOWAS Passport**, which allows visa-free travel for citizens.
- **ADB (African Development Bank):**
  - **Aims:** A multilateral development bank (Africa's "World Bank") that provides financing and policy advice for development projects.
  - **Roles:** Funds major projects in infrastructure (roads, energy), agriculture, health, and education across Africa.
- **ECA (Economic Commission for Africa):**
  - **Aims:** One of the five regional commissions of the **United Nations (UN)**.
  - **Roles:** It is Africa's primary "think tank." It produces research, provides policy advice to governments, and helps coordinate development goals.
- **WACH (West African Clearing House):**
  - *Note: This has been transformed into the **West African Monetary Agency (WAMA)**.*
  - **Aims:** To facilitate easier trade and payments *between* West African countries, to reduce the need for US Dollars, and to work towards monetary integration.

2. GLOBAL ORGANIZATIONS

- **IMF (International Monetary Fund):**
  - **Aims:** To ensure the *stability* of the international monetary system.
  - **Roles:**
    1. Provides *short-term* loans to countries facing **Balance of Payments (BOP) crises**.
    2. Monitors the global economy ("surveillance").
    3. Provides technical assistance to central banks.

       - *(Famous for its "conditionalities" / SAPs).*
- **IBRD (International Bank for Reconstruction and Development - "The World Bank"):**
  - **Aims:** To reduce global poverty by providing *long-term* loans and grants to low- and middle-income countries.
  - **Roles:** Funds specific *development projects* (e.g., building a dam, a university, or an immunization program).
  - *(Note: The IMF is a "financial firefighter" for BOP crises. The World Bank is a "long-term builder" for development projects).*
- **OPEC (Organization of the Petroleum Exporting Countries):**
  - **Aims:** A "cartel" of the world's major oil-exporting nations (including Nigeria, Saudi Arabia, UAE, etc.). Its goal is to coordinate oil policies to *stabilize* the oil market and ensure a fair price.
  - **Roles:** Its main tool is setting **production quotas** (limits) for its members to prevent oversupply and price crashes.
- **GATT / WTO (General Agreement on Tariffs and Trade / World Trade Organization):**
  - **Aims:** GATT (1947) was a treaty to reduce trade barriers. It was replaced by the **WTO (1995)**.
  - **Roles:** The WTO is the *global regulator* for international trade. It sets the rules for trade, negotiates new trade deals, and acts as a "court" to settle trade disputes between countries.

- **UNCTAD (United Nations Conference on Trade and Development):**
    - **Aims:** A UN body that acts as the "voice of the developing countries" (the "Global South") in world trade.
    - **Roles:** Conducts research and advocates for policies (e.g., fairer prices for raw materials, debt relief) that help developing countries benefit from globalization.

EVALUATION (WEEK 6)

1. What is the main economic goal of ECOWAS?
2. What is the *major difference* in the type of loans given by the IMF and the World Bank (IBRD)?
3. What is OPEC, and what is its main tool for controlling oil prices?
4. What is the role of the WTO in international trade?

ASSIGNMENT (WEEK 6)

1. Choose *two* organizations from the list (e.g., ECOWAS and OPEC).
2. Write a one-page essay on the "Pros and Cons" of Nigeria's membership in both. (e.g., How does OPEC membership *help* Nigeria, and how does it *limit* Nigeria?).

WEEK 7: MIDTERM BREAK

This week is for the midterm break.

WEEK 8: CURRENT ECONOMIC PLANS: MDGS, NEEDS, VISION 2020

8.1 INTRODUCTION

This week, we review three *major* development plans from Nigeria's recent past. As SS3 students in 2025, we study these as **important historical frameworks** that set the stage for Nigeria's *current* plans (like the *National Development Plan 2021-2025* and the UN's *Sustainable Development Goals (SDGs)*).

8.2 MDGS (MILLENNIUM DEVELOPMENT GOALS)

- **Meaning:** A set of **8** global development goals adopted by all UN member states in the year **2000**, with a deadline of **2015**. They were a global "call to action" to tackle the world's biggest problems.
- **The 8 Objectives:**
    1. Eradicate extreme poverty and hunger.
    2. Achieve universal primary education.
    3. Promote gender equality and empower women.
    4. Reduce child mortality.
    5. Improve maternal health.
    6. Combat HIV/AIDS, malaria, and other diseases.
    7. Ensure environmental sustainability.
    8. Develop a global partnership for development.
- **Legacy:** The MDGs were partially successful. They *did* help cut global poverty in half, but Nigeria failed to meet most of its specific targets. In 2015, the MDGs were replaced by the **SDGs (Sustainable Development Goals)**, which are 17 more comprehensive goals to be achieved by 2030.

8.3 NEEDS (NATIONAL ECONOMIC EMPOWERMENT AND DEVELOPMENT STRATEGY)

- **Meaning:** Nigeria's home-grown, medium-term development plan from **2003 to 2007**, under the Obasanjo administration.

- **Objectives (The "Four Pillars"):**
  1. **Reforming Government & Institutions:** Tackling corruption (this is when the **EFCC and ICPC** were empowered) and improving the civil service.
  2. **Growing the Private Sector:** This was the main idea. To make the *private sector*, not government, the engine of economic growth. This was done through privatization and deregulation.
  3. **A "Social Charter" (Human Development):** Focusing on health, education, poverty reduction, and women's empowerment.
  4. **Value Re-orientation:** Promoting national pride, hard work, and integrity.
- **SEEDS & LEEDS:** The strategy was cascaded down:
  - **SEEDS:** State Economic Empowerment and Development Strategy.
  - **LEEDS:** Local Economic Empowerment and Development Strategy.

8.4 VISION 20:2020

- **Meaning:** A long-term *vision* (not a detailed plan) launched in 2009 (under the Yar'Adua administration) with the single, ambitious goal of making Nigeria one of the **"Top 20 economies in the world by the year 2020."**
- **Objectives:**
  - To achieve this, the plan required massive, sustained, double-digit economic growth.
  - It called for huge investments in infrastructure (especially **power**), agriculture, and manufacturing.
  - It aimed to "deepen" the reforms of NEEDS.
- **Legacy:** The goal was **not met**. By 2020, Nigeria was still not a top 20 economy, largely due to the collapse of oil prices, continued corruption, and massive infrastructure deficits (especially power). It serves as a case study in the gap between ambitious goals and the political will to implement them.

EVALUATION (WEEK 8)

1. What were the MDGs, and what new framework replaced them in 2015?

2. What does "NEEDS" stand for?
3. What were the "four pillars" of the NEEDS document?
4. What was the single, overarching goal of the "Vision 20:2020" document?
5. Why did Vision 20:2020 fail to achieve its goal?

ASSIGNMENT (WEEK 8)

1. Research the **Sustainable Development Goals (SDGs)** (the 17 goals that replaced the MDGs).
2. Choose *three* SDGs that you feel are most critical for Nigeria today.
3. Write a one-page essay explaining why you chose those three and how they are interconnected.

WEEK 9: ECONOMIC DEVELOPMENT CHALLENGES

9.1 MEANING AND EFFECTS OF POVERTY

- **Meaning of Poverty:** Poverty is a state of deprivation where an individual or community lacks the financial resources and essential needs for a minimum standard of living.
  - **Absolute Poverty:** Lack of basic human needs (food, water, shelter, health). The World Bank often defines this as living on less than ~$2.15 per day.
  - **Relative Poverty:** Being poor *relative* to the average standard of living in your society (e.g., not being able to afford a TV or car when most people in your society can).
- **Effects of Poverty:**

  1. **Low Standard of Living:** Poor nutrition, health, and housing.
  2. **Low Productivity:** A poorly-fed, poorly-educated population is not productive.
  3. **Social Vices:** Poverty is a root cause of crime, prostitution, and susceptibility to recruitment by terrorist/bandit groups.
  4. **Vicious Cycle:** Poverty creates a "vicious cycle": Low income -> Low savings -> Low investment -> Low productivity -> Low income.

9.2 METHODS OF POVERTY ALLEVIATION AND ERADICATION

1. **Promoting Pro-Poor Economic Growth:** Growth that is *inclusive* and creates jobs.
2. **Investment in Human Capital:** Providing free, *quality* education and healthcare.
3. **Infrastructure Development:** Providing roads (to get goods to market), clean water, and electricity (to start businesses).
4. **Microfinance:** Providing small loans ("micro-credit") to poor entrepreneurs (especially women) to start small businesses.
5. **Good Governance:** The most important. *Stopping corruption* ensures that money meant for poverty alleviation is not stolen.

9.3 AGENCIES FOR POVERTY ALLEVIATION (HISTORICAL)

- **NDE (National Directorate of Employment) (1986):** A long-running agency focused on *skills acquisition* and *vocational training* to help unemployed youths create their own jobs.
- **NAPEP (National Poverty Eradication Programme) (2001):** An Obasanjo-era programme aimed at coordinating all poverty-alleviation efforts. It was famous for its "KEKE-NAPEP" (tricycle) scheme.
- *(Note: Many modern programmes, like N-Power, are continuations of these same goals).*

9.4 HIV/AIDS AND THE ECONOMY

- **The Economic Impact:** The HIV/AIDS epidemic (while now better managed with ARVs) has a devastating economic effect.
    1. **Loss of Prime-Age Workforce:** The disease disproportionately affects the most productive age group (18-45). This robs the economy of skilled and unskilled labour.
    2. **Increased Healthcare Costs:** The government must spend a huge portion of its budget on ARV drugs, hospitals, and awareness campaigns, "diverting" money from other projects.
    3. **Reduced Productivity:** Workers who are sick are less productive, have high absenteeism, and eventually drop out of the workforce.

9.5 POWER AND ENERGY INADEQUACY

This is arguably the **single greatest brake** on Nigeria's economic development.

- **The Problem:** An unreliable and inadequate national grid supply.
- **The Economic Effects:**
    1. **High Cost of Operations:** *Every* business (from a barber shop to a cement factory) must "self-generate" power using expensive diesel or petrol generators.
    2. **Kills Manufacturing:** This high cost makes "Made in Nigeria" goods *more expensive* than imported goods from countries with stable power (like China).
    3. **Discourages Investment:** Foreign investors will not build factories in a country where they must also build their own power plant.

4. **Kills Small Businesses:** Small, new businesses (like a welder or a tailor) cannot afford the start-up cost of a generator and fuel, so they can never get started.

EVALUATION (WEEK 9)

1. Differentiate between "Absolute Poverty" and "Relative Poverty."
2. What is the "vicious cycle of poverty"?
3. What is the main function of the NDE (National Directorate of Employment)?
4. Explain two major *economic* (not health) effects of the HIV/AIDS epidemic.
5. List three ways that "power and energy inadequacy" hurts the Nigerian economy.

ASSIGNMENT (WEEK 9)

1. You have been given ₦1 billion to "alleviate poverty." Would you spend it on (a) direct cash payments to the poor, or (b) building a new power plant and vocational school? Write a paragraph justifying your choice.

WEEK 10: ECONOMIC REFORM PROGRAMMES

10.1 CONSOLIDATION OF FINANCIAL INSTITUTIONS (BANKING REFORM 2005)

- **The Problem (Pre-2004):** Nigeria had **89** banks. Most were small, family-owned "boutique" banks. They were weak, poorly managed, and did not have the *capital* (money) to fund large industrial projects (like a N50 billion factory). Many were unstable and at risk of collapse.
- **The Reform (2004-2006):** Led by the CBN Governor, **Prof. Charles Soludo**.
  - **The Policy:** A *mandatory* recapitalization. All 89 banks were forced to raise their "capital base" to a minimum of **₦25 billion**, or "Consolidate" (merge or be acquired).
- **The Result:** By 2006, the 89 weak banks had become **25** much larger, stronger, and more stable banks (this has since consolidated further).
- **Objectives/Roles:**

  1. **Create Strong Banks:** To create banks "big enough" to fund major economic projects.
  2. **Protect Depositors:** To reduce the risk of bank failure.
  3. **Attract Foreign Investment:** To make the Nigerian banking system credible and trustworthy.

10.2 PRIVATIZATION AND COMMERCIALIZATION

This policy (part of the 1980s SAP and 2000s NEEDS) was designed to fix Nigeria's inefficient state-owned enterprises (SOEs).

- **The Problem:** Government-owned companies (like **NEPA, NITEL, Nigeria Airways, Ajaokuta Steel**) were famous for being corrupt, inefficient, bloated with "ghost workers," and a drain on the national budget.

A. Privatization

- **Definition:** The *transfer of ownership* of a government company (SOE) to the *private sector*. The government *sells* the company.
- **Examples:** The sale of Nigeria's telecommunications (NITEL) which led to the *GSM revolution* (MTN, Glo, etc.). The sale of power generation (GENCOs) and distribution (DISCOs) from NEPA/PHCN.
- **Aim:** To increase efficiency, stop corruption, and generate revenue for the government.

B. Commercialization

- **Definition:** The *re-organization* of a government company (SOE) to make it run *like* a private business. The government *still owns* the company, but it is expected to be *profitable* and *efficient*.
- **Example:** The transformation of the old **NNPC** (Nigerian National Petroleum Corporation) into the new **NNPC Ltd.** (Limited Liability Company) under the Petroleum Industry Act (PIA).
- **Aim:** To stop the company from being a drain on the budget and to improve service, without losing state ownership.

10.3 ROLES OF EFCC, ICPC, NAFDAC, AND SON

1. Anti-Graft Agencies (Fighting Corruption)

- **EFCC (Economic and Financial Crimes Commission):**
  - **Role:** The "big stick" for *financial* crimes.
  - **Focus:** Money laundering, advance-fee fraud ("419"), bank fraud, and the financial crimes of *all* citizens, including politicians ("public-facing").
- **ICPC (Independent Corrupt Practices and Other Related Offences Commission):**
  - **Role:** The "internal" anti-corruption agency.
  - **Focus:** *Public sector* corruption. It investigates *public servants* and *civil servants* (e.g., a university lecturer demanding a bribe for marks, a government official demanding a bribe for a contract).

2. Regulatory Agencies (Ensuring Standards)

- **NAFDAC (National Agency for Food and Drug Administration and Control):**
  - **Role:** To safeguard public health by ensuring the *quality and safety* of all **food, drugs, cosmetics, medical devices, and packaged water** (sachet/bottle) that are manufactured, imported, or sold in Nigeria.
  - **Function:** They are the "gatekeepers" for consumables.
- **SON (Standards Organisation of Nigeria):**
  - **Role:** To set the *minimum quality standards* for *all* other products *not* covered by NAFDAC.
  - **Function:** They ensure the quality of everything from building materials (cement, roofing sheets), to electronics (TVs, light bulbs), to car tires, and solar panels.

EVALUATION (WEEK 10)

1. What was the main *goal* of the 2005 Banking Consolidation?
2. Differentiate clearly between "Privatization" and "Commercialization."
3. What is the *specific* difference between the mandates of the EFCC and the ICPC?
4. What is the *specific* difference between the mandates of NAFDAC and SON?

ASSIGNMENT (WEEK 10)

1. The privatization of Nigeria's power sector (NEPA) into GENCOs and DISCOs is a major case study.
2. Write a one-page essay on whether you think this specific reform has been a "success" or a "failure," and why.

WEEK 11: REVISION

This week is for a comprehensive review of all topics from the Second Term.

- **BOP (Weeks 1-2):** Terms of Trade, BOT vs. BOP, Favorable vs. Unfavorable, Surplus/Deficit, and *Methods of Correction* (Devaluation, Tariffs, Quotas, Monetary/Fiscal Policy).
- **Growth vs. Development (Week 3):** Quantitative vs. Qualitative, GDP vs. HDI, "Growth without Development," Problems (Corruption, Oil, Power).
- **Planning (Week 4):** Elements, Nigeria's history (1st-4th Plans, SAP).
- **Organizations (Week 6):** ECOWAS, IMF, World Bank (IBRD), OPEC, WTO. Know their *main functions*.
- **Historical Plans (Week 8):** MDGs (global), NEEDS (Obasanjo-era), Vision 20:2020 (goal).
- **Challenges (Week 9):** Poverty (types, cycle), HIV/AIDS, and *Power/Energy Inadequacy*.
- **Reforms (Week 10):** Banking Consolidation (Soludo, ₦25B), Privatization vs. Commercialization, and the roles of EFCC/ICPC (graft) and NAFDAC/SON (standards).

Practice past SSCE questions on these topics, especially calculations (TOT) and comparison questions (Growth vs. Development).